



Financial ratios

Lenders, investors, analysts, internal management, and other interested parties calculate financial ratios to decipher what financial statements are really saying about the state of a business.

How it works

Financial ratios are used to assess the financial standing of a business and identify any problem areas that might affect its future prospects. The process involves comparing two related items in the financial statement, such as net sales to net worth or net income to net sales, and using those ratios to measure the relative performance of the company. There are many different ratios to choose from, depending on the

purpose—for example, whether the purpose is to measure the company's ability to provide a good return to shareholders, its capacity to handle debt, or the efficiency with which it operates. The ratios can also be used to compare a business with its competitors or in comparison to specific benchmarks within the company to determine how consistent its financial results are.

Top financial ratios

These are some of the ratios most commonly used by people involved with assessing businesses. They are best considered comparatively and in the context of the economic climate. The ratios are for analyzing established companies, usually public ones with shares traded on the stock exchange—start-ups and small-to-medium enterprises generally do not have a full enough range of figures to provide any kind of reliable guide.



Profitability ratios

These are used to see how effective a company is at generating profit. Profitability ratios may mirror investment valuation ratios. One example is the operating profit margin ratio. A high ratio is good, as it indicates that a high proportion of revenue (gross income) converted into operating income (profit minus costs).

$$\text{OPERATING PROFIT MARGIN} = \frac{\text{OPERATING INCOME}}{\text{REVENUE}}$$

Other profitability ratios

- › **Return on equity (ROE)** is measured as net income after tax / shareholders' equity. The higher the ratio, the greater the profitability, but not if a company is relying too heavily on borrowing.
- › **EBITDA to sales ratio** is measured as EBITDA (earnings before interest, taxes, depreciation, and amortization) / revenue. It gauges the profitability of core business operations. The higher the margin, the greater the profits.



Efficiency ratios

These show how efficiently the company uses its assets and resources to maximize profits. An example is the sales revenue to capital employed ratio, which indicates a company's ability to generate sales revenue by utilizing its assets. Similar ratios can examine how quickly the company settles its bills and invoices.

$$\text{SALES REVENUE TO CAPITAL EMPLOYED RATIO} = \frac{\text{NET SALES}}{\text{CAPITAL EMPLOYED}}$$

Other efficiency ratios

- › **Accounts receivable turnover ratio** is measured as net credit sales / average accounts receivable. It shows how efficiently a company turns sales into cash. The higher the ratio, the more frequently money is collected.
- › **Inventory turnover ratio** is measured as the cost of goods sold / average inventory. It shows how efficiently a company manages its inventory level. A low ratio usually equates to poor sales.

